# Boston Scientific Corporation (BSX)

Watch list analysis, 2026-10-30 21:49 CET. Latest prices on 2026-10-30. Claude's notes updated 2026-10-30.

## 1. Summary

**Q3 (Oct 28) missed on earnings and the year's outlook was cut a fourth time: sales grew only 1.5% and are guided to fall in Q4. The stock is cheap (about 13x) and now about 1% above the $41.5 entry, but growth has stalled rather than slowed. View: a small first position only at or below $41.5; wait for the 2027 outlook (late January) before adding.**

| Price | Adjusted P/E, 12m | 10-year median P/E | Entry at 13x |
|---|---|---|---|
| **$41.98** | **13.2x** | **25.2x** | **$41.47**<br>1% below today's price |

- **Cheap:** the lowest valuation in a decade, and cheaper than most medical-device peers.
- **Strong:** the best profitability and cash generation in its peer group.
- **Weak:** little cash against its debt, with more debt coming from the Penumbra deal.
- **Uncertain:** growth has fallen from about 16% to about 4% for 2026, with Q4 sales guided down 1–3%; how much is the cyberattack and how much is lasting share loss is not yet clear.

## 2. The numbers

### Absolute values, latest 12 months

| Value | BSX |
|---|---|
| **Price and value** | |
| Share price | $41.98 |
| Market value | $60.84bn |
| DCF fair value | $34.40 |
| Cash flow before growth (DCF base) | $3.40bn |
| **Debt and cash** | |
| Total debt | $12.62bn |
| Net debt | $12.09bn |
| Short-term debt | $1.71bn |
| Long-term debt | $10.91bn |
| Cash | $0.54bn |
| **Earnings** | |
| Revenue (12m) | $21.00bn |
| EBITDA (12m) | $5.64bn |
| Net income (12m) | $3.67bn |
| EPS (12m) | $2.37 |
| Forward EPS | $3.17 |
| **Cash flow** | |
| Operating cash flow | $4.53bn |
| Capex | -$2.72bn |
| Free cash flow | $1.81bn |

### Absolute values by year (SEC filings; Yahoo where SEC has no figure)

| Value | FY2016 | FY2017 | FY2018 | FY2019 | FY2020 | FY2021 | FY2022 | FY2023 | FY2024 | FY2025 | Latest 12m |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Share price | $21.63 | $24.79 | $35.34 | $45.22 | $35.95 | $42.48 | $46.27 | $57.81 | $89.32 | $95.35 | $41.98 |
| Market value | $29.79bn | $34.53bn | $49.53bn | $63.79bn | $50.93bn | $60.91bn | $66.61bn | $84.60bn | $132.72bn | $142.50bn | $60.84bn |
| Cash flow before growth (DCF base) | $0.55bn | $0.76bn | -$0.39bn | $1.20bn | $0.67bn | $1.05bn | $0.76bn | $1.52bn | $2.41bn | $3.44bn | $3.40bn |
| Total debt | $5.48bn | $5.62bn | $7.06bn | $10.01bn | $9.14bn | $9.06bn | $8.94bn | $9.10bn | $10.75bn | $11.44bn | $12.62bn |
| Net debt | $5.29bn | $5.43bn | $6.91bn | $9.79bn | $7.41bn | $7.14bn | $8.01bn | $8.24bn | $10.33bn | $9.47bn | $12.09bn |
| Short-term debt | $0.06bn | $1.80bn | $2.25bn | $1.42bn | $0.01bn | $0.26bn | $0.02bn | $0.53bn | $1.78bn | $0.30bn | $1.71bn |
| Long-term debt | $5.42bn | $3.81bn | $4.80bn | $8.59bn | $9.13bn | $8.80bn | $8.91bn | $8.57bn | $8.97bn | $11.14bn | $10.91bn |
| Cash | $0.20bn | $0.19bn | $0.15bn | $0.22bn | $1.73bn | $1.93bn | $0.93bn | $0.86bn | $0.41bn | $1.97bn | $0.54bn |
| Revenue (12m) | $9.08bn | $9.05bn | $9.82bn | $10.73bn | $9.91bn | $11.89bn | $12.68bn | $14.24bn | $16.75bn | $20.07bn | $21.00bn |
| EBITDA (12m) | $1.26bn | $2.13bn | $2.40bn | $2.53bn | $1.04bn | $2.29bn | $2.79bn | $3.54bn | $3.87bn | $4.98bn | $5.64bn |
| Net income (12m) | $0.35bn | $0.10bn | $1.67bn | $4.70bn | -$0.12bn | $0.98bn | $0.64bn | $1.57bn | $1.85bn | $2.90bn | $3.67bn |
| EPS (12m) | $0.25 | $0.08 | $1.19 | $3.33 | -$0.08 | $0.69 | $0.45 | $1.07 | $1.25 | $1.94 | $2.37 |
| Operating cash flow | $1.18bn | $1.43bn | $0.31bn | $1.84bn | $1.51bn | $1.87bn | $1.53bn | $2.50bn | $3.44bn | $4.53bn | $4.53bn |
| Capex | -$0.38bn | -$0.32bn | -$0.32bn | -$0.46bn | -$0.38bn | -$0.55bn | -$0.59bn | -$0.71bn | -$0.79bn | -$0.88bn | -$2.72bn |
| Free cash flow | $0.81bn | $1.11bn | -$0.01bn | $1.38bn | $1.13bn | $1.32bn | $0.94bn | $1.79bn | $2.65bn | $3.66bn | $1.81bn |

## Ratios

| Measure | BSX | Rule or peer median |
|---|---|---|
| Net debt / EBITDA | 2.1x | ≤ 4.5x |
| EBITDA / interest | 15.5x | ≥ 4x |
| Cash / short-term debt | 0.3x | ≥ 1x |
| Cash / long-term debt | 4.9% | ≥ 5% |
| Revenue growth, average / median year | 16.6% / 17.6% | > 0 |
| EPS growth (GAAP), average / median year | 69.9% / 55.2% | > 0 |
| Net margin, 12 months | 17.5% | |
| P/E, trailing GAAP | 17.7x | peer median 28.0x |
| P/E, forward | 13.3x | |
| EV / EBITDA | 12.9x | peer median 16.2x |
| Free cash flow yield | 3.0% | |
| Price vs standard DCF fair value | +22.0% | < 0 is cheap |

## Strict screen: fails

| Must-have | BSX |
|---|---|
| market value >= $1bn | Pass |
| reliable US-dollar data | Pass |
| profitable (net income and EBITDA > 0) | Pass |
| cash covers short-term debt | Fail |
| cash >= 5% of long-term debt | Fail |
| net debt / EBITDA <= 4.5x | Pass |
| EBITDA / interest >= 4x | Pass |

## Weighted screen against peers: BSX ranks 5 of 9

| Company | Total | Debt (50%) | Profit and cash (25%) | Cheapness (25%) |
|---|---|---|---|---|
| 1. RMD | 73.4 | 80.2 | 72.2 | 61.1 |
| 2. DXCM | 68.1 | 86.1 | 66.7 | 33.3 |
| 3. ISRG | 61.0 | 75.0 | 69.0 | 25.0 |
| 4. PODD | 56.3 | 59.0 | 62.7 | 44.4 |
| **5. BSX** | **52.8** | **26.7** | **77.0** | **80.6** |
| 6. STE | 50.9 | 46.5 | 52.4 | 58.3 |
| 7. GEHC | 44.7 | 39.2 | 25.4 | 75.0 |
| 8. MDT | 43.5 | 37.5 | 29.4 | 69.4 |
| 9. SYK | 43.1 | 37.2 | 45.2 | 52.8 |

Peers: ABT, MDT, SYK, ISRG, BDX, EW, ZBH, DXCM, STE, PODD, TFX, GEHC, RMD. Growth required. Scores are percentiles within the peers that pass the base rules.

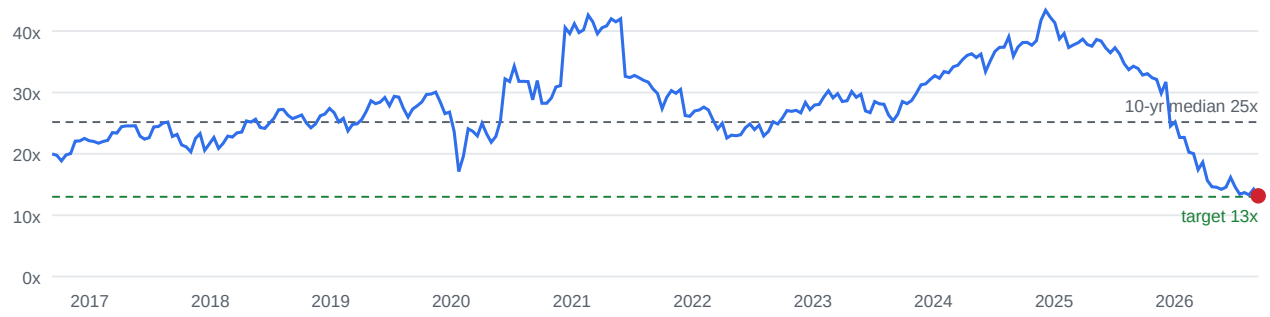
## DCF

| Standard DCF | |
|---|---|
| Cash flow before growth (OCF − D&A + after-tax interest) | $3.40bn |
| WACC (CAPM) | 8.1% |
| Growth forever | 2.5% |
| Fair value per share | $34.40 |

| Standard DCF | |
|---|---|
| Price vs fair value | +22.0% |
| Growth forever implied by today's price | 3.3% |

## 3. Analysis

### Adjusted P/E against its own 10-year history




| Year | Average price | Adjusted EPS | P/E |
|---|---|---|---|
| **Now (12m)** | **$41.98** | **$3.19** | **13.2x** |
| 2025 | $100.87 | $3.05 | 33.1x |
| 2024 | $76.24 | $2.51 | 30.4x |
| 2023 | $51.31 | $2.05 | 25.0x |
| 2022 | $41.86 | $1.71 | 24.5x |
| 2021 | $41.59 | $1.63 | 25.5x |
| 2020 | $37.41 | $0.96 | 39.0x |
| 2019 | $40.25 | $1.59 | 25.3x |
| 2018 | $32.17 | $1.48 | 21.7x |
| 2017 | $26.52 | $1.26 | 21.0x |
| 2016 | $21.26 | $1.12 | 19.0x |

Median of the yearly P/E: 25.2x over 10 years, 25.5x over the last 5.

Adjusted EPS: Yahoo's reported quarterly EPS (the basis analysts use, without amortization and one-offs), split-adjusted. Last four quarters, by report date: Feb 2026 $0.80, Apr 2026 $0.80, Jul 2026 $0.86, Oct 2026 $0.73. Full-year EPS is the trailing figure at the Q4 report; P/E uses the year's average price. The chart shows the daily price over the trailing adjusted EPS known that day.

### Entry price

At 13x trailing adjusted EPS of $3.19, the entry price is **$41.47**, 1% below today's price. The 10-year range of yearly P/E is 19.0x to 39.0x (years of collapsed earnings, such as 2020, show very high P/Es). Next report 2027-02-10 (EPS estimate $0.78); if met, the entry price becomes $41.21.

Target: Proposed 2026-10-27 (report 11): about half the 10-year median, a discount for slower growth and the Penumbra debt.

### Business

Boston Scientific makes devices for heart, vascular, digestive and urology procedures. The growth engines of the last few years were electrophysiology (pulsed field ablation, Farapulse) and the Watchman left-atrial-appendage closure device. Organic growth was 15.8% in 2025; the 2026 guide is now about 3.75% after four cuts (Q3 2026: +1.5%). It generates about $3.6bn of free cash flow a year (SEC capex).

### Risks

- **Share loss in US electrophysiology:** competitors' pulsed field ablation systems are taking share.
- **Watchman:** stand-alone Watchman procedures are falling.

- **Debt:** the pending $14.5bn Penumbra deal adds about $11bn of debt, taking net debt to EBITDA near 3.8x; it also needs an FTC remedy.
- **Cyberattack:** the Aug 25 attack disrupted manufacturing and shipping; likely a one-off but it clouds Q3.

### News

- 2026-10-30: about $42.0, about 1% above the $41.5 entry, holding up on a day the S&P 500 fell 1.8%. No new company news.
- 2026-10-28: Q3 sales $5.14bn (+1.5%, just above the $5.12bn estimate); adjusted EPS $0.73 against $0.75 expected and $0.75 a year ago. Full-year adjusted EPS cut to $3.16–3.18 (was $3.34–3.41); Q4 guided to $0.77–0.79 (consensus $0.83) with sales down 1–3%. The release gives no figures for electrophysiology or Watchman, and no 2027 outlook. The stock fell about 6% to about $42.3. The cyberattack's cost is not quantified, so adjusted EPS here still includes it.
- 2026-10-27 (evening): closed about $45.0 ahead of tomorrow's report. Stifel cut its target from $60 to $55 on Oct 26 but kept Buy.
- 2026: the stock is down about half from its 2025 high after three guidance cuts.

### What to watch

- The 2027 outlook with Q4 results (late January): does growth recover once the cyberattack is behind it?
- Whether US electrophysiology and Watchman stabilise.
- The Penumbra closing, the FTC remedy and the debt package.

### Caveats

- Yahoo data is unofficial; capex can include acquisitions or stakes, so check SEC capex.
- The peer group is hand-picked, so the weighted scores depend on it.
- Claude's notes are dated above and may be older than the numbers.

Reproduce: `uv run python analysis/watchlist.py BSX`